

GOVERNMENT CONTRACTING RESOURCE GUIDE

Top 10 FAR Common Mistakes

A practical compliance reference identifying the Federal Acquisition Regulation errors that disqualify small businesses from competing, derail contract awards, and create legal and financial exposure during performance.

■ HIGH	Disqualification or significant legal/financial exposure likely if not addressed
■ MEDIUM	Competitiveness significantly reduced or performance issues likely if not addressed

Introduction

The federal marketplace represents the largest single customer in the world, with over \$700 billion in annual contract spending. Yet year after year, small businesses lose — or never win — federal contracts not because of inferior capabilities, but because of avoidable compliance and process mistakes.

This guide identifies the 10 most common Federal Acquisition Regulation (FAR) and procurement process errors that cost small businesses federal contracts. Each section describes the mistake, explains its real-world consequences, and provides concrete, actionable steps to avoid it.

Free Help Available:

The **Procurement Technical Assistance Center (PTAC)** network offers free one-on-one coaching to help businesses win government contracts. Find your local center at aptac.org. Your local **SBA district office** also provides free resources and referrals.

01

Failing to Maintain an Active SAM.gov Registration

RISK: HIGH

Overview

One of the most common and easily avoidable mistakes is allowing your SAM.gov registration to lapse. Federal regulations require active registration at the time of offer submission and award.

Consequences of This Mistake

- Automatic disqualification of proposal — contracting officers cannot award to inactive entities
- Loss of set-aside eligibility even if all other qualifications are met
- Delayed awards while registration is renewed, potentially losing the opportunity
- Ineligibility to receive payment on existing contracts if registration lapses mid-performance

■ HOW TO AVOID IT

Set a calendar reminder 60 days before your annual renewal date. Assign a dedicated staff member to own SAM.gov maintenance. Note: renewal can take up to 10 business days — do not wait until expiration.

■ *Key resource: sam.gov — renewal is free; always register directly, never through third-party sites that charge fees*

02

Misidentifying or Missing NAICS Codes

RISK: HIGH

Overview

The NAICS code on a solicitation determines size standards, set-aside eligibility, and whether your firm qualifies to compete. Using the wrong code — or failing to have it in your SAM.gov registration — is a disqualifying error.

Consequences of This Mistake

- Proposal rejection for lack of proper NAICS registration
- False certification exposure if you certify small business status under an incorrect size standard
- Missing set-aside opportunities because your profile does not match agency filters
- SBA protest vulnerability if a competitor challenges your size status

■ HOW TO AVOID IT

Review solicitations carefully for the assigned NAICS code before submitting. Ensure all relevant codes are registered in SAM.gov. Use the SBA Size Standards Tool at sba.gov to verify your small business status under each applicable code.

■ *Tip: Use the NAICS code lookup at census.gov to find the best fit for each product or service you offer*

03

Ignoring the Federal Acquisition Regulation (FAR) Requirements

RISK: HIGH

Overview

The FAR governs all federal procurement and contains mandatory clauses, compliance requirements, and procedural rules. Many small businesses underestimate its complexity and submit non-compliant proposals or fail to meet contract performance requirements.

Consequences of This Mistake

- Proposal disqualification for missing mandatory certifications or clauses
- Contract termination for default due to non-compliance during performance
- Debarment or suspension risk for serious or willful violations
- Financial liability for overpayments, unallowable costs, or audit findings

■ HOW TO AVOID IT

Familiarize yourself with key FAR parts relevant to your contract type: FAR Part 12 (commercial items), Part 15 (negotiated acquisition), Part 19 (small business programs), and Part 52 (contract clauses). Access the full FAR free at [acquisition.gov](https://www.acquisition.gov).

■ *Free resource: [acquisition.gov](https://www.acquisition.gov) has the full FAR; [SBA.gov](https://www.sba.gov) offers plain-language guides for small businesses*

04

Submitting a Non-Compliant Proposal

RISK: HIGH

Overview

Federal agencies evaluate proposals strictly against the solicitation's Instructions to Offerors (Section L) and Evaluation Criteria (Section M). Proposals that deviate from format, page limits, or required content are routinely rejected without evaluation.

Consequences of This Mistake

- Immediate elimination from competition without review of technical merit
- Loss of bid and proposal costs with no recourse
- Missed opportunity to compete even when your firm is the most qualified
- Reputational damage with the contracting office that can affect future bids

■ HOW TO AVOID IT

Create a compliance matrix before writing your proposal. Map every Section L requirement to a corresponding section of your response. Assign a second reviewer to conduct a compliance check before submission.

■ *Pro tip: Start with contracts under \$250K to build your past performance record while honing your proposal process*

05

Underpricing or Overpricing Without Market Analysis

RISK: MEDIUM

Overview

Pricing is among the most critical — and most frequently miscalculated — elements of a federal proposal. Underpricing creates performance risk and losses; overpricing makes you uncompetitive. Neither serves your business.

Consequences of This Mistake

- Contract loss due to uncompetitive pricing (overpricing)
- Financial losses, cash flow problems, and default risk (underpricing)
- Defective pricing allegations under the Truth in Negotiations Act (TINA)
- Audit findings and cost disallowances on cost-type contracts

■ HOW TO AVOID IT

Use USASpending.gov and FPDS-NG to research historical award prices for comparable work. Build your price from the bottom up using realistic direct labor rates, fringe benefits, overhead, G&A, and fee.

■ *Also check: USASpending.gov for historical awards to study agency buying patterns and competitive price ranges*

06

Inadequate Past Performance Documentation

RISK: MEDIUM

Overview

Past performance is a critical evaluation factor in most federal competitions. Many small businesses either lack documented performance records or fail to present relevant experience in a compelling, evaluator-friendly format.

Consequences of This Mistake

- Lower confidence ratings that reduce overall proposal competitiveness
- Neutral ratings (treated as slightly unfavorable) when no relevant references can be verified
- Missed set-aside wins where past performance is the deciding factor
- Inability to prime larger contracts without demonstrated relevant experience

■ HOW TO AVOID IT

Collect Contractor Performance Assessment Reports (CPARs) from completed federal work. Build a past performance library with contract numbers, agency POCs, period of performance, dollar value, and a concise description of work performed.

■ *Strategy: Keep POC contact information current — agencies will call to verify; an unreachable reference can sink an otherwise strong proposal*

07

Failing to Respond to Sources Sought and RFIs

RISK: MEDIUM

Overview

Sources Sought notices and Requests for Information (RFIs) are pre-solicitation market research tools. Ignoring them is a missed opportunity to shape requirements, establish visibility with the contracting team, and assess set-aside potential.

Consequences of This Mistake

- Reduced awareness of upcoming opportunities until formal solicitation release
- Missing the window to influence requirements in your favor
- Contracting officer may determine insufficient small business interest, removing set-aside
- Competitors who respond gain intelligence and relationship advantages over you

■ HOW TO AVOID IT

Monitor SAM.gov daily using filters for your NAICS codes and target agencies. Respond to every relevant Sources Sought and RFI with a tailored capability statement. A well-crafted response takes 2–4 hours and can shape a multi-million dollar solicitation.

■ *Why it matters: RFI responses help agencies determine whether a set-aside is appropriate — your response can directly shape the competition*

08

Misunderstanding Small Business Subcontracting Requirements

RISK: MEDIUM

Overview

Contracts over \$750,000 generally require a Small Business Subcontracting Plan if the prime is a large business. Small business primes that team with large businesses must also understand their compliance obligations and affiliation rules.

Consequences of This Mistake

- Liquidated damages and contract termination for failure to comply with subcontracting plans
- Affiliation findings that reclassify your firm as other-than-small
- Ostensible subcontractor rule violations if a large business performs the primary requirements
- Loss of small business certifications and set-aside eligibility

■ HOW TO AVOID IT

Review FAR 19.702 and 52.219-9 if you are a large prime. If you are a small business prime, understand affiliation rules (FAR 19.101) before teaming. Document all subcontracting decisions and consult your SBA Procurement Center Representative.

■ *Opportunity: 23% of federal contracts are legally reserved for small businesses — certifications like 8(a), HUBZone, SDVOSB, and WOSB expand your access further*

09

Poor Contract Administration and Modification Management

RISK: MEDIUM

Overview

Winning a contract is only the beginning. Many contractors — especially first-timers — fail to properly manage contract modifications, funding increments, period-of-performance extensions, and required reports.

Consequences of This Mistake

- Revenue loss from performing out-of-scope work without a contract modification
- Negative past performance ratings from contracting officers
- Disputes, claims, and litigation over unauthorized commitments
- Termination for default from missed deliverable or reporting deadlines

■ HOW TO AVOID IT

Assign a dedicated contracts administrator for every award. Maintain a contract file with all modifications, funding obligations, and correspondence. Never perform work beyond the funded ceiling without a written modification.

■ *Pro tip: Your Contracting Officer's Representative (COR) is your day-to-day point of contact — build a strong relationship early in performance*

10

Neglecting Cybersecurity and Compliance Requirements

RISK: HIGH

Overview

Federal contractors are increasingly required to meet cybersecurity standards, most notably NIST SP 800-171 and the Cybersecurity Maturity Model Certification (CMMC) framework. Non-compliance is disqualifying for contracts involving Controlled Unclassified Information (CUI).

Consequences of This Mistake

- Ineligibility to compete for DoD contracts requiring CMMC certification
- False Claims Act exposure for misrepresenting cybersecurity compliance
- Contract termination and financial liability for data breaches
- Reputational damage and potential debarment for willful non-compliance

■ HOW TO AVOID IT

Conduct a self-assessment using NIST SP 800-171 DoD Assessment Methodology. Submit your score to the Supplier Performance Risk System (SPRS) as required. If pursuing DoD opportunities, begin CMMC preparation early — assessments can take 6–12 months.

■ *Free resource: csrc.nist.gov has the full NIST SP 800-171 framework; [SBA.gov](https://sba.gov) offers cybersecurity guidance for small contractors*

Quick Reference: 10 Common FAR Mistakes at a Glance

Use this checklist before every proposal submission and contract award.

#	Risk	Mistake	FAR Ref	Key Action
01	HIGH	Failing to Maintain an Active SAM.gov Registration	SAM / FAR 4.1102	Renew SAM.gov 60 days early
02	HIGH	Misidentifying or Missing NAICS Codes	FAR 19.102	Verify codes via census.gov
03	HIGH	Ignoring the Federal Acquisition Regulation (FAR) Requirements	FAR Part 52	Review acquisition.gov
04	HIGH	Submitting a Non-Compliant Proposal	FAR Part 15	Build compliance matrix
05	MEDIUM	Underpricing or Overpricing Without Market Analysis	FAR 15.404	Research USASpending.gov
06	MEDIUM	Inadequate Past Performance Documentation	FAR 42.1502	Collect CPARs & POCs
07	MEDIUM	Failing to Respond to Sources Sought and RFIs	FAR 10.001	Respond to all RFIs
08	MEDIUM	Misunderstanding Small Business Subcontracting Requirements	FAR 19.702	Review FAR 19.101 affiliation
09	MEDIUM	Poor Contract Administration and Modification Management	FAR 43.102	Track all modifications
10	HIGH	Neglecting Cybersecurity and Compliance Requirements	DFARS 252.204	Submit SPRS score

Key Federal Contracting Resources

These free government resources are essential references for every federal contractor.

Resource	Website	Use It For
SAM.gov	sam.gov	Registration, opportunities, set-aside searches, and award data
Federal Acquisition Regulation	acquisition.gov	Full FAR text and agency supplements (DFARS, etc.)
SBA Size Standards Tool	sba.gov/size-standards	Verify small business eligibility by NAICS code
USASpending.gov	usaspending.gov	Historical award data and agency spending research
PTAC Network	aptac.org	Free one-on-one procurement coaching for small businesses
FPDS-NG	fpds.gov	Federal procurement data — research competitor awards
NIST SP 800-171 / CMMC	csrc.nist.gov	Cybersecurity compliance framework for CUI handling
SBA.gov	sba.gov	Certifications (8a, HUBZone, WOSB, SDVOSB) and contracting programs

Need Help Navigating Federal Contracting?

True North Federal Solutions LLC provides expert guidance to small businesses entering the federal marketplace — from registration and certifications to proposal development and contract compliance.

[truenorthfederalolutions.com](#)

DISCLAIMER: This guide is for informational purposes only and does not constitute legal, regulatory, or procurement advice. Regulations change — always verify current requirements at [acquisition.gov](https://www.acquisition.gov) and consult qualified legal counsel for specific situations.